

even dreamed about dropping out of school with his earnings, figuring that with all his newfound wealth, college would become unnecessary.

As he was daydreaming about sailing in Greece, he noticed the stock price start to plummet on his computer monitor. He frantically tried to place a sell order, but since everyone else was trying to sell at the same time, his order didn't get filled until the stock had become basically worthless. Francis knew that he needed money in order to make money, so in desperation he bought a very high-risk stock in hopes of recouping his losses. However, this stock also performed badly. Before he knew it, he had lost almost all of his money. He had to borrow money from his dad in order to make it through the semester. By not following a long-range strategy (see Chapter 13), Francis had approached investing much like gambling.

One rule of thumb for deciding what investments to make is to add a percent sign to your age. You should have no more than that percentage of your money in fixed-income investments like bonds or CDs. The rest should be in stocks. For instance, if you are twenty years old, you should have no more than 20 percent of your long-term savings in fixed-income investments and 80 percent in a variety of stocks.

The willingness among college students to take risks is fueled by a perception that upon graduation they will have numerous high-paying job offers to choose from. It is no big deal if they lose money now since they will easily make it up once they start working. This strategy only works if that high-paying job materializes and their risky behavior stops. Unfortunately, this behavior, more times than not, becomes habit forming.

With today's college students having access to a credit card and an Internet connection, day trading or online gambling

